

TaxSight Pre-Launch Compliance & Product Checklist

Living document — Last updated: 2026-05-10

Source: External tax API analysis (2026-05-09), Henry + Hank discussion (2026-05-10)

TaxSight Pre-Launch Compliance & Product Checklist

***Living document** — Last updated: 2026-05-10 Source of research: External tax API analysis (2026-05-09), Henry + Hank discussion (2026-05-10) This list will evolve as we do more research. Items are not in strict priority order — grouped by domain.*

□ 1. Business Entity & Legal Structure

- ☐ **Form LLC** — liability separation for tax data handling
- ☐ **Register for ERO status** — required for transmitting tax returns (PTIN + fingerprinting + surety bond)
- ☐ **Determine state licensing requirements** — each state has separate tax preparer registration
- ☐ **Draft Operating Agreement** — clarifies ownership, profit distribution, decision rights
- ☐ **Secure E&O insurance** — errors and omissions for tax software
- ☐ **Review Circular 230 compliance** — ensure no "advice" crossing the line into tax prep

⚖️ 2. Terms of Service & Legal Agreements

- ☐ **Terms of Service** — mandatory acceptance before any data input
- User acknowledges: TaxSight is a tool, not a tax preparer
- User is solely responsible for all selections and submissions
- No refund guarantee for tax calculations (user controls all inputs)
- Data retention policy stated

- Limitation of liability clause
 - Dispute resolution / arbitration clause
 - ☐ **Privacy Policy** — GDPR / CCPA compliant
 - ☐ **Cookie Consent** — if analytics or tracking used
 - ☐ **Versioned terms** — users must re-accept if ToS changes
 - ☐ **Acceptance tracking** — per-user, timestamped, which version they accepted
-

☐ 3. Disclaimers & Wording Audit

- ☐ **Full-page disclaimer on every calculation/suggestion screen**
 - "TaxSight provides suggestions based on IRS publications. You are responsible for confirming accuracy."
 - ☐ **Footer disclaimer on all pages**
 - "Not tax advice. Consult a qualified professional."
 - ☐ **Circular 230 disclosure** on any page dealing with tax positions
 - ☐ **Audit banner** before filing: "By filing, you certify all information is true and accurate."
 - ☐ **SEO-liability wording review per page:**
 - Landing page → focus on "tools," "insights," "options" — NOT "preparation," "advice," "guaranteed"
 - Upload page → "Extract what you uploaded" — NOT "we find everything for you"
 - Calculations page → "Your potential deductions" — NOT "your refund"
 - FAQ page → "What users can do with TaxSight" — NOT "what TaxSight does for you"
 - ☐ **Word audit checklist** — scan every headline, CTA, label for:
 - ☐ "We calculate your taxes" → ☐ "See your options"
 - ☐ "Maximize your refund" → ☐ "Explore what you may qualify for"
 - ☐ "Tax preparation" → ☐ "Tax document organizer"
 - ☐ "Our AI knows taxes" → ☐ "Powered by IRS publication data"
-

☐ 4. Security & Data Protection

- ☐ **Encryption at rest** — PostgreSQL `pgcrypto` or Supabase built-in encryption
- ☐ **Encryption in transit** — ☐ DONE via Traefik HTTPS
- ☐ **Row-level security** — every query scoped to authenticated user
- ☐ **Immutable audit log** — all user actions: logins, uploads, selections, confirmations, filings
- ☐ **Data retention policy**
- Raw documents: deleted 30 days post-filing

- Extracted data: retained for seasonal reuse (user can delete anytime)
 - Audit logs: retained for 3 years (legal requirement)
 - [] **Access controls** — admin access requires 2FA, logged
 - [] **SOC 2 readiness** — architecture decisions documented for future audit
 - [] **Supabase evaluation** — built-in auth, RLS, encryption, real-time
 - [] Decide: full migration vs hybrid (Supabase auth + our API)
 - [] If migrate: rewrite API from FastAPI/SQLAlchemy to Supabase SDK
 - [] Edge Functions for document processing (if going serverless)
-

□ 5. Pricing & Submission Model

- [] **Submission as add-on purchase** — users prepare for free, pay only to file
 - Free: upload, extract, explore deductions (no transmission)
 - Pro (\$39/season): file federal + state via TaxBandits
 - Business (\$99/season): multi-return, priority support
 - [] **Stripe Checkout integration** — need publishable + secret keys
 - [] **TaxBandits pricing** — ~\$0.68–\$5.00 per form (federal + state)
 - Calculate margin: \$39 Pro - TaxBandits fee - Stripe fee = net per user
 - Evaluate: do we charge filing fee separately vs include in subscription?
-

□ 6. FAQ Page (NEW — Dedicated Page)

- [] **Design a standalone FAQ page** — not hidden in footer, accessible from nav
 - [] **Tone**: transparent, cautious, helpful — not salesy
 - [] **Must-answer questions** (SEO + legal protection):
 - "Is TaxSight a tax preparer?" → No, we are a document organization tool
 - "Who is responsible for my tax return?" → You are, entirely
 - "Does TaxSight guarantee a refund?" → No, we surface possibilities
 - "How is my data protected?" → Encryption, access controls, deletion policy
 - "Do I still need a CPA?" → We recommend consulting one for complex situations
 - "What forms do you support?" → W-2, 1099-NEC, 1099-MISC, receipts (expanding)
 - "Can I file state taxes?" → Yes, via TaxBandits
 - "What happens to my documents after filing?" → Auto-deleted after 30 days
 - [] **SEO strategy for FAQ** — rank for "tax document organizer," "deduction finder," "free tax tool" — NOT "tax preparation" or "file taxes online"
-

□ 7. Product UX Changes

- [] **Confirmation checkbox on every deduction** — user must explicitly select
 - [] **Editable amounts** — user can override extracted values
 - [] **Audit trail display** — "You confirmed this on [date] at [time]" shown on every item
 - [] **Submission as separate flow** — disconnected from preparation UX (add-on purchase screen)
 - [] **Terms acceptance gate** — modal before first upload, version-tracked
 - [] **Disclaimer banner** — fixed bottom bar on all authenticated pages
 - [] **Data deletion self-service** — user can delete all their data with one click
-

□ 8. Filing Backend Evaluation

- [] **TaxBandits**
 - [] Sign up for sandbox account
 - [] Test 1040 transmission with dummy data
 - [] Understand pricing model
 - [] Verify state filing support (all 50 states?)
 - [] Check for 1099/W-2 transmission (if expanding to business)
 - [] **Column Tax**
 - [] Request pricing quote
 - [] Evaluate white-label UI quality
 - [] Check if their "max refund guarantee" conflicts with our liability position
 - [] **April**
 - [] Request pricing quote
 - [] Same evaluation as Column Tax
-

□ 9. Development Backlog (Inferred)

- [] Plaid integration for bank transaction import
- [] Deduction suggestion engine (LLM + IRS Pub 17 rules)
- [] Checkbox confirmation UI component
- [] Audit logging middleware
- [] FAQ page (frontend + copy)
- [] Terms of Service acceptance flow
- [] Disclaimer banner component

- ☐ Data deletion endpoint
 - ☐ Submission add-on purchase flow (Stripe)
 - ☐ TaxBandits API integration
 - ☐ Migration path: Supabase evaluation → decision → implementation
-

☐ 10. Launch Readiness Gates

- ☐ ☐ LLC formed
 - ☐ ☐ ERO registered
 - ☐ ☐ Attorney-reviewed disclaimers deployed on every page
 - ☐ ☐ Terms of Service + Privacy Policy live
 - ☐ ☐ All wording audited and compliant
 - ☐ ☐ Encryption at rest + in transit
 - ☐ ☐ Row-level security enforced
 - ☐ ☐ Audit logging operational
 - ☐ ☐ TaxBandits sandbox tested end-to-end
 - ☐ ☐ Stripe Checkout working
 - ☐ ☐ Submission add-on flow complete
 - ☐ ☐ FAQ page live with approved copy
 - ☐ ☐ E&O insurance in place
 - ☐ ☐ Internal test: user creates account, uploads documents, explores deductions, files (via TaxBandits sandbox), deletes data
-

Notes

- This document should be re-reviewed after every new piece of tax industry research
- Legal review by a qualified attorney is mandatory before launch — this checklist identifies what needs review, not how to implement it
- Some items may be out of scope for v1.0 — mark them as v1.1+ and move on
- Henry and Hank to work through this together, prioritizing based on launch timeline